



Local Support, Total Commitment

**TLD ACE
All Hands Meeting #1**

January 2013

TLD

People behind your equipment

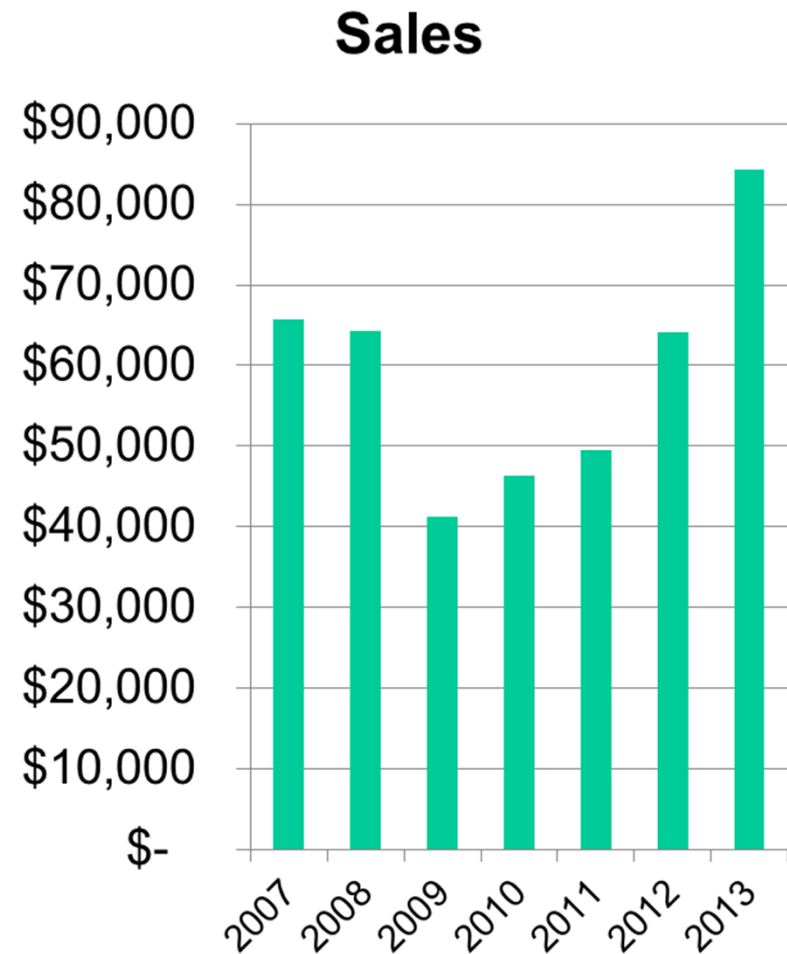


- We contributed \$4,386
- TLD Employees Contributed \$1,193
- TLD Matched this contribution with \$1,193
- TLD Contributed an additional \$2,000

Thank You



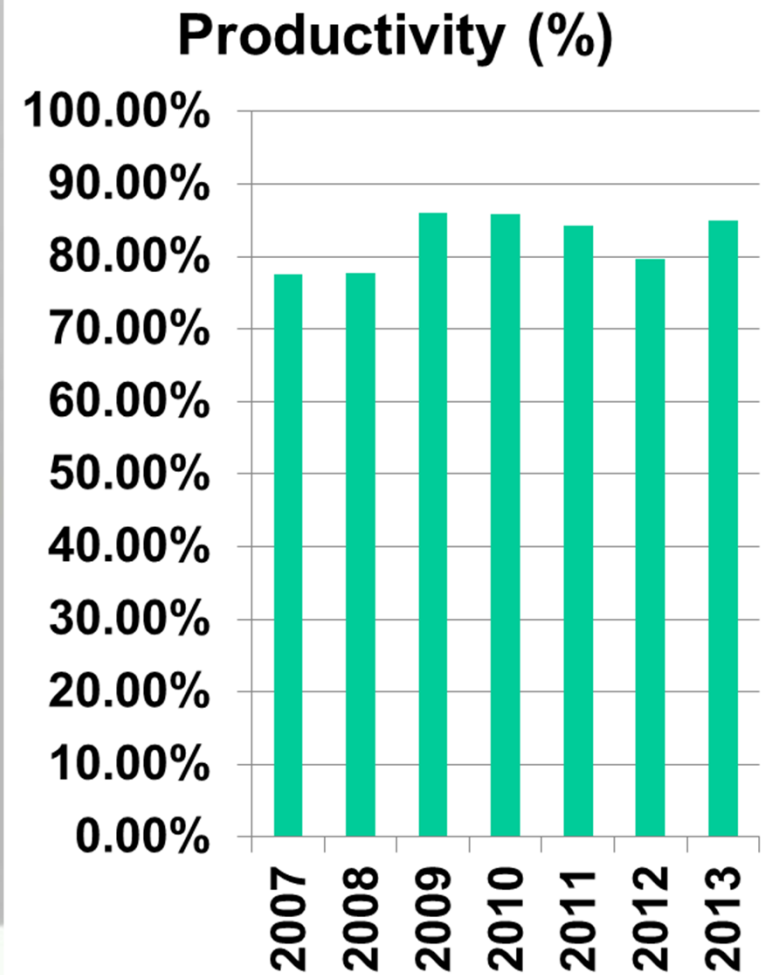
- **2012 was a strong year for TLD ACE**
 - Same volume as 2007 and 2008
 - High Employment
 - Historic USAF ACU-808 Order
 - Successful LCU project award & Progress
 - New GPU Development



2012 – Year in Review

- **We Also had our challenges**

- Lower profit than 2007 and 2008
- High Material Costs & Supply Chain Issues
- Delivered Unit Quality was not at standards
- Unrealized productivity improvements resulted in low labor efficiency



2012 – Year in Review

- **RONCE –**

- How Much Profit Do We Make on the Shareholders Investment?

- **Profit!**

Sales Price

- *Material Costs*
- *Labor Costs*
- *Overhead*
- = *Profit*

- **Capital!**

Buildings + Vehicles + Cash
+ Inventory
+ WIP = Capital

- **Good News!**

- TLD ACE exceeded the requirements for RONCE bonus payout in 2012!

- **Better News!**

- We are positioned to do this again in 2013 if we focus as a team on Productivity Improvements and Cost Savings

RONCE

- **Sales = 84.4MUSD**

- 739 Units
- 31% Increase over 2012

- **Strong Military Program Activity**

- LCU-025-CUP
- LCU-025-EMP
- CCU-1314-CAP

- **Big Opportunities in 2013**

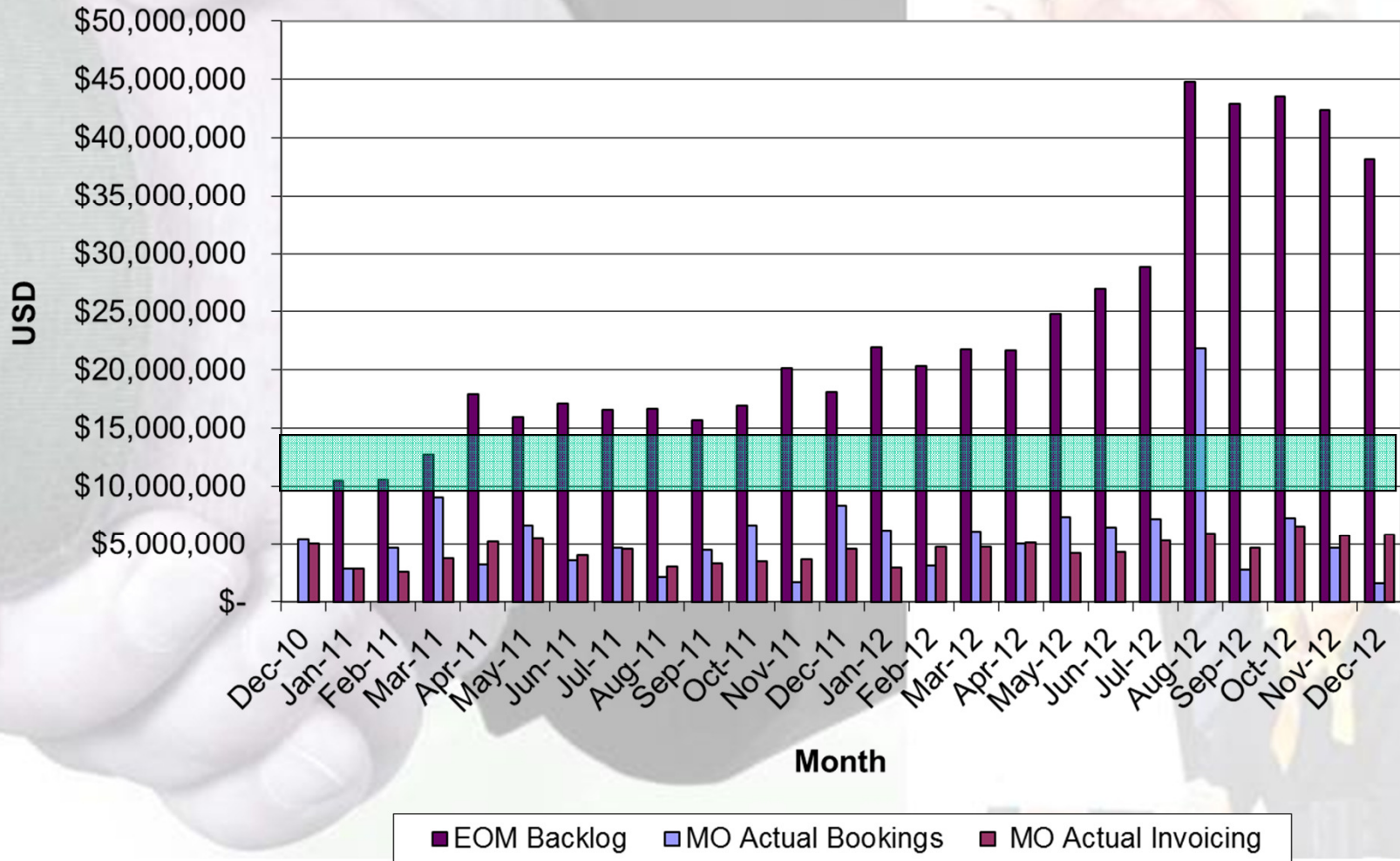
- F-35 ACU Program
- USAF Small Air Conditioner Program

- **Big Threats in 2013**

- Production Efficiency
- Competition @ lower price in many markets
- Delivered Quality

2013 Budget Overview

Sales, Bookings and Backlog



Status of Our Business

- **What's in Our Backlog?**

Sum of Amount		
Class	Type	Total
COMMERCIAL	ACU	\$ 3,281,656
	ASU	\$ 2,360,577
	GPU	\$ 1,147,719
COMMERCIAL Total		\$ 6,789,952
MILITARY	DEVELOPMENT	\$ 7,048,582
	LCU	\$ 8,212,050
MILITARY Total		\$ 15,260,632
USAF	ACU	\$ 16,096,985
USAF Total		\$ 16,096,985
Grand Total		\$ 38,147,569

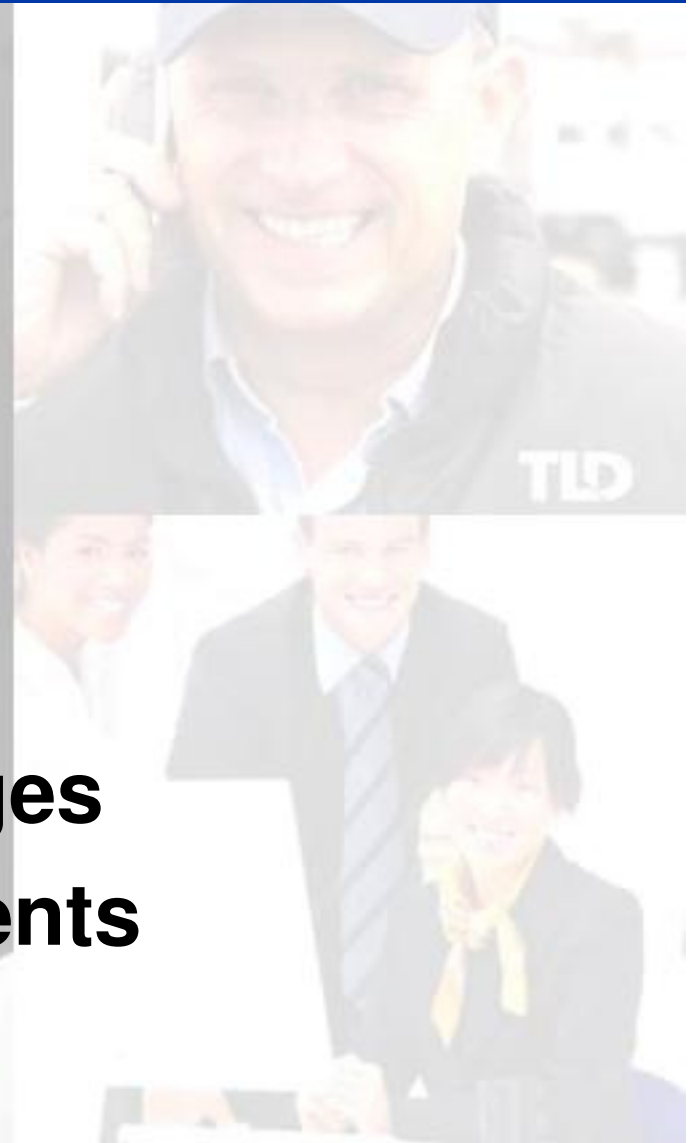
Status of Our Business

- **F-35 High Pressure Air Conditioner**
 - Similar to ACU-401
 - Strong interest from LMCo, current supplier is failing
 - Other potential supplier does not have TLD's experience
- **USAF Small Air Conditioner**
- **ACU-804 – Qty 30 for Indigo**
- **GPU, ACU, ASU – Total 30 for TGS**
- **ACU-808 – Qty 9 for DNATA**

Potential Orders

People behind your equipment

- LCU-025-CUP
- LCU-025-EMP
- CCU-1314-CAP
- GPU-409
- USAF-ACU-808
- Tier 4 Emissions Changes
- Productivity Improvements

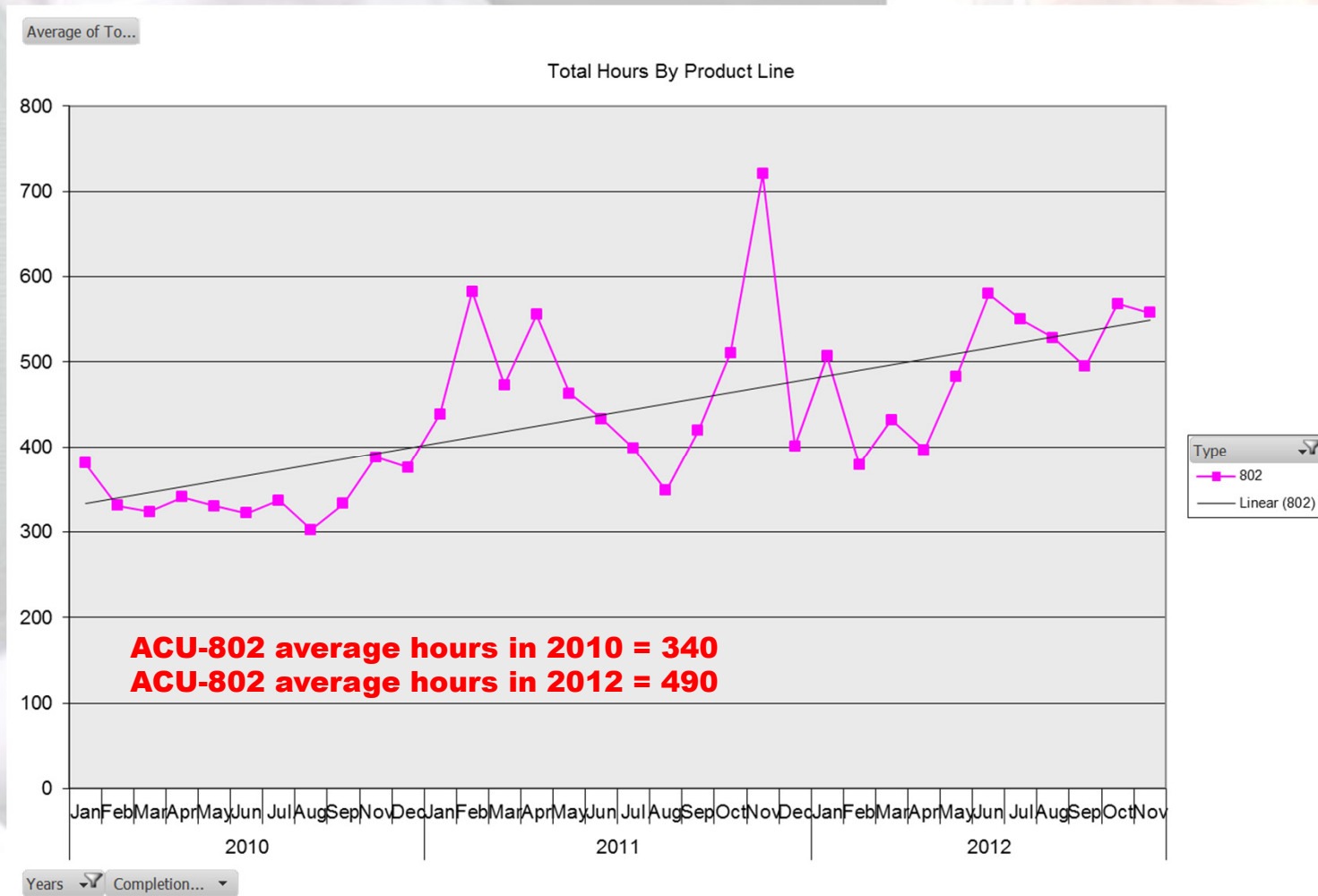


Projects & Programs

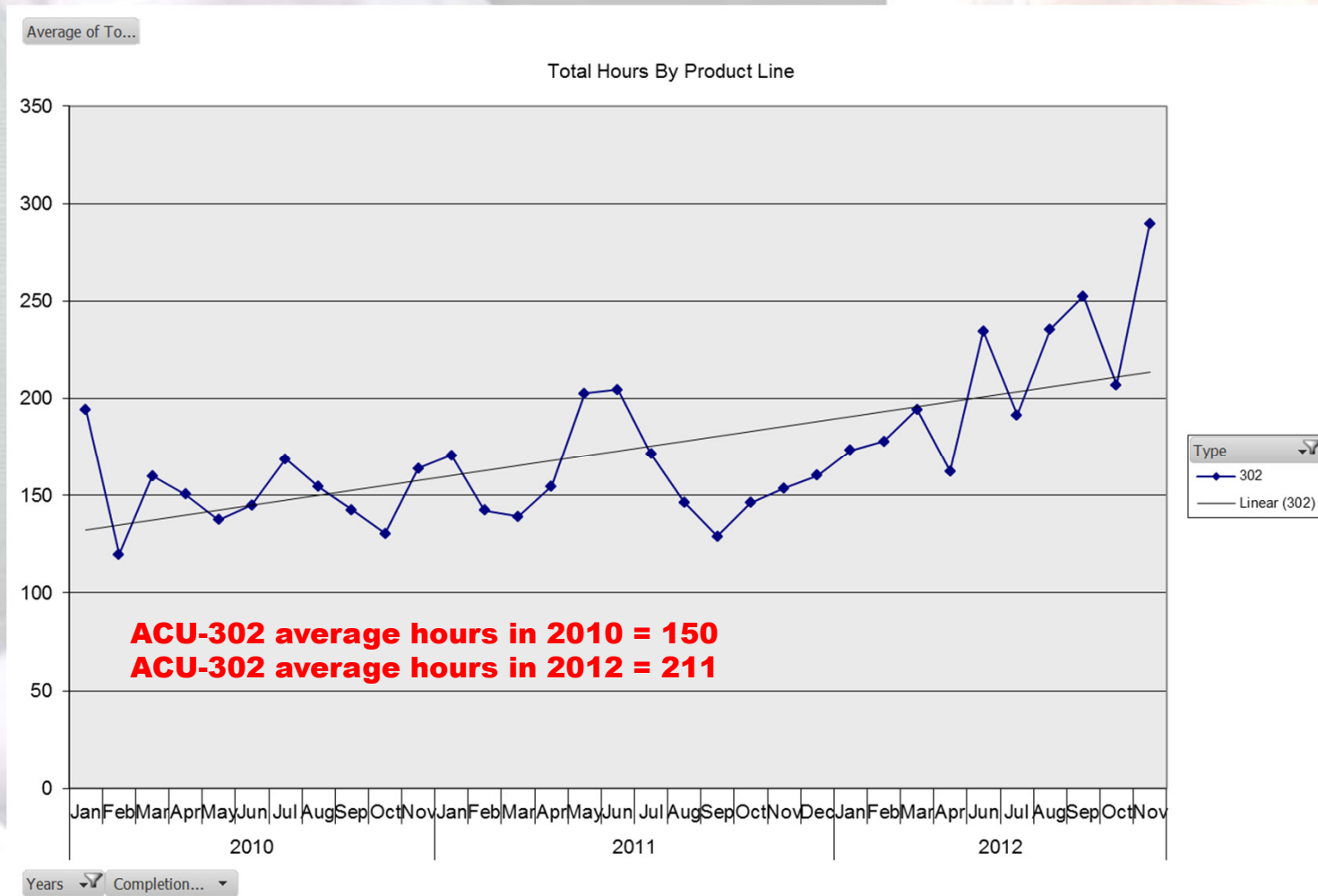
- We must strive to make *Every* Unit a High Quality Unit
- We must ensure we follow our Documentation, Test Procedures and Engineering Drawings
- We must ensure we make refrigeration systems that don't leak – all the time, every time
 - Customers with low refrigeration level simply think our design is poor, and don't come back to TLD for follow-on orders
- Quality starts with each of us – we must be take responsibility to ensure we only ship High Quality Units

Good Enough is not Good Enough

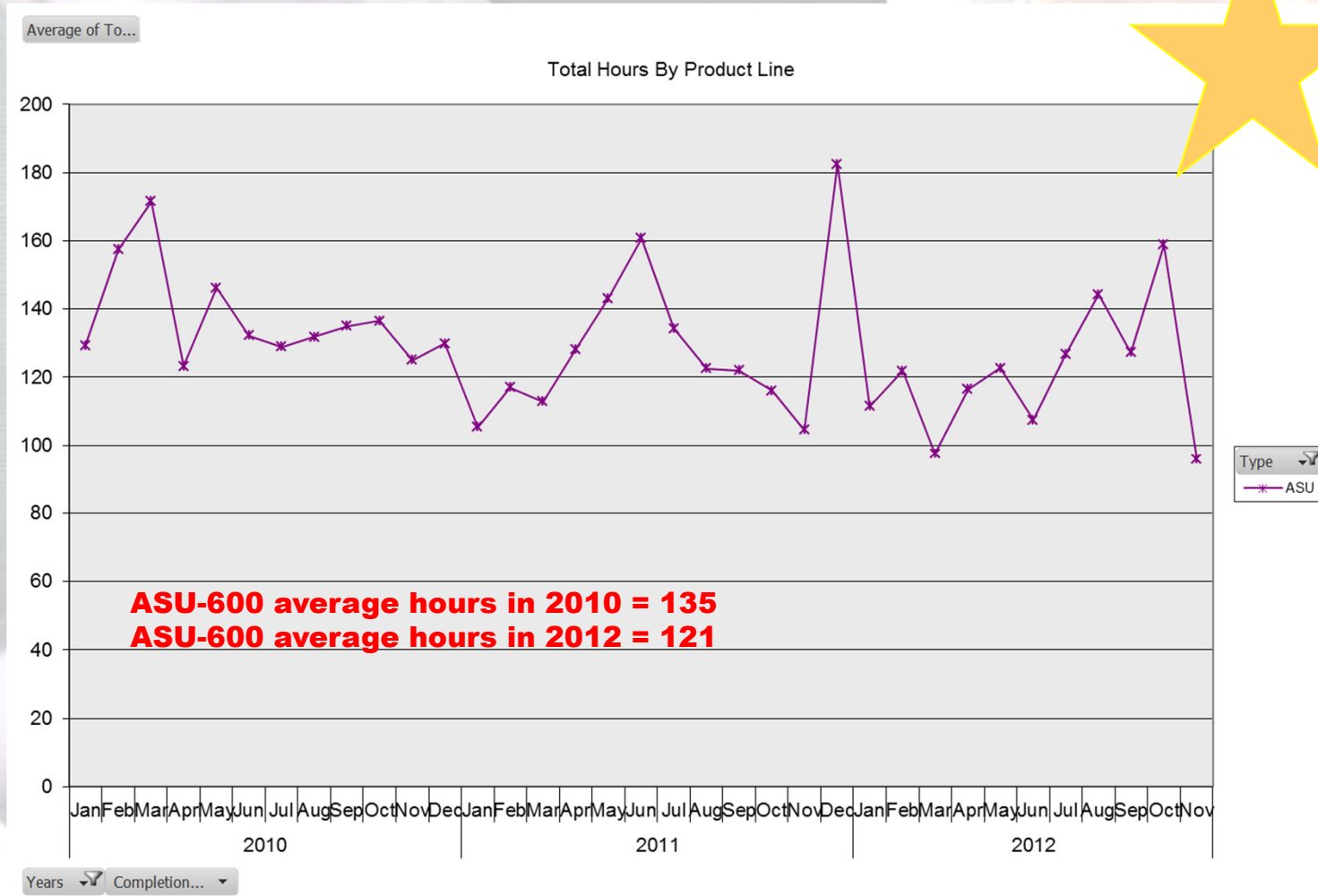
Quality Focus



Productivity

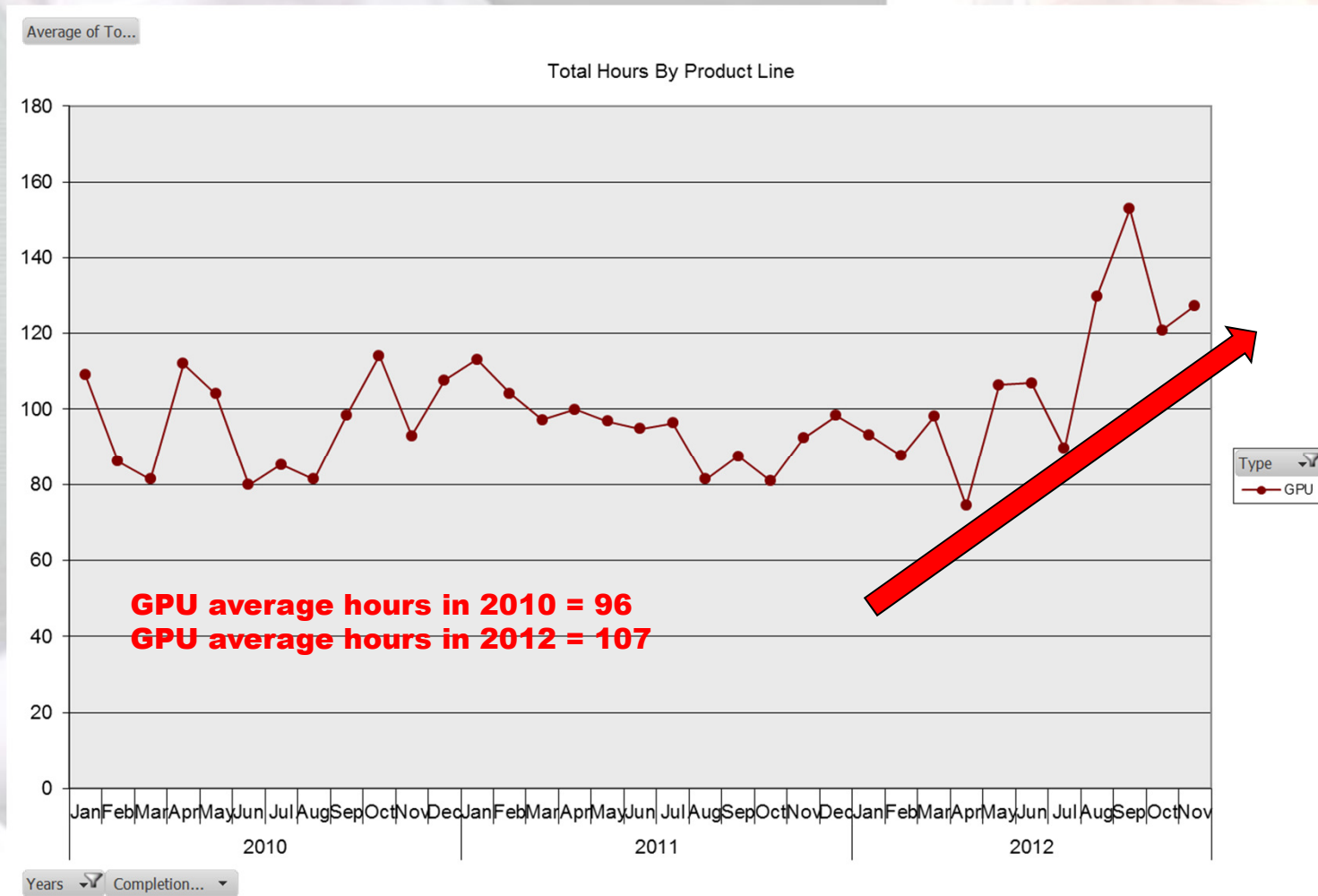


Productivity



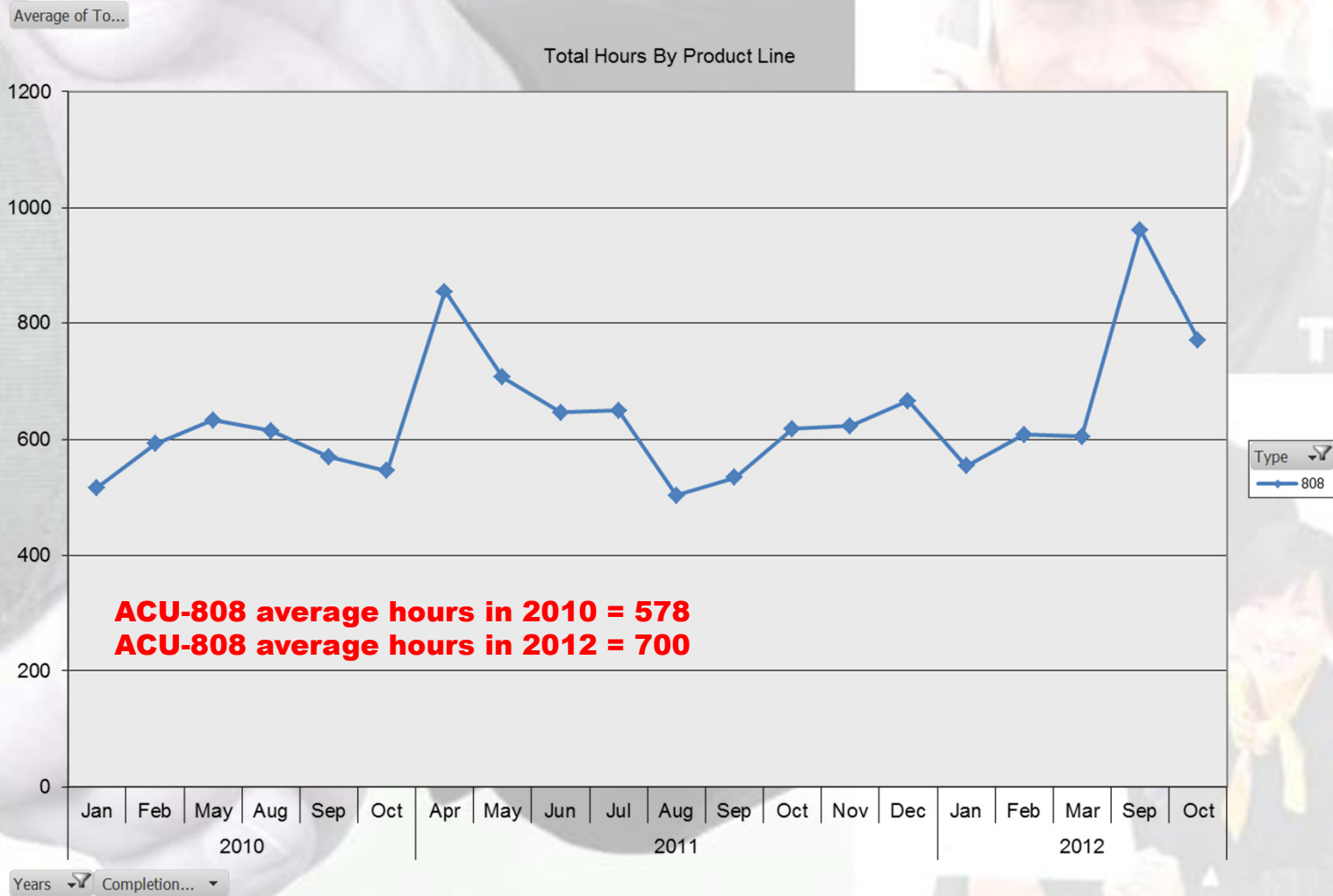
Productivity

People behind your equipment



Productivity

People behind your equipment



Productivity

People/behind your equipment

- **We must support Manufacturing Productivity**

- Parts Availability
- Design Stability
- Documentation Accuracy
- Scheduling



Productivity



- **Ways to Improve your Safe Work Habits**

- Seek Cleanliness – Avoid Clutter
 - Eliminate trips and falls
 - Improves efficiency
- Fall Protection System for Work on top of Units
 - Eliminate risk of falling
- Don't Take Risks
 - Don't lean from ladders, don't take shortcuts

Safety

- 2012 was a great year, with strong sales
- 2013 is showing great promise, with particularly high growth from TLD WINDSOR
- TLD Group Backlog remains at record levels, largely due to long-term military work in the US
- Important Plans for our future:
 - TLD WIN Military Work
 - Taxibot

View From the Group

- In 2009, TLD has signed an exclusive contract for the risk sharing development and future production of the **TaxiBot** tractors
- The concept has been tested and validated by AIRBUS in June 2010 with a demonstrator already built
- **TaxiBot** had its first prototype ready in October 2011, and obtained the innovation award of the InterAirport Show 2011



Taxiing Fuel annual worldwide expense over 8B\$ and 18M ton CO2

Video

TLD Green 

**Reinventing the
Airport**

TLD
LOCAL SUPPORT, TOTAL COMMITMENT

TLD STRATEGIC GOALS 2011-2013

- To install durably the TLD Brand as a synonym of quality and superior service to our customers worldwide.
- To bring value to our customers through innovation as well as product quality and reliability
- To improve operating conditions in order to reach our quality and support goals while delivering an excellent financial performance

2011-2013 Goals

- **Teamwork is the key to Delivering High Performance**
- **We *must* work together to improve**
 - Product Quality
 - Manufacturing Efficiency
 - Material Availability
 - Engineering Accuracy
 - On-Time Delivery

We Must Improve Quickly!

behind your equipment

- **RONCE**

- YTD Performance > 25%
 - We are on track for a full payout, but we must continue to work to meet our budget
- Our Contributions
 - Maximize Income by minimizing costs
 - Don't waste anything
 - Work efficiently
 - Improve quality to reduce cost of rework and warranty
 - Minimize Capital
 - Move units through production and test quicker
 - Ensure inventory quantities are correct – only buy what we need
 - Maintain our equipment so we don't have to spend money on repairs or replacement

Your Daily Choices Impact this Bonus!

RONCE Bonus



- **2013 is a year of Great Opportunity for TLD ACE**
- **Business Indicators must improve**
 - Quality, Efficiency, delivery
- **Military Business Growth**
- **Engineering Projects Pave the way for our future, they must be supported**

Every action we take impacts the company and ourselves
– Make your impact Positive –

Summary

People behind your equipment

Support Quality Innovation

Our continuous common goals

